CONCISE EDITION • 18 OCTOBER 2026 • 09:00 HKT

US equities tumble as rates rise, energy leads gains

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read · Topics: Macro · Geopolitics · Earnings

TL;DR

The major indices closed sharply lower on Tuesday, with the **S&P 500** down -1.09% to 7,659.44 and the **Nasdaq 100** off -2.50% at 29,187.55. Higher-than-expected 10-year Treasury yields and a 21% jump in the VIX underscored growing risk aversion.

Energy ETFs rallied on a sub-$100 WTI price, while technology and consumer discretionary stocks led the sell-off. Investors will watch upcoming earnings from **NVDA** and **META** for clues on sector momentum.

US Session Recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,659.44	-1.09%	
Dow Jones	52,002.41	-0.34%	
Nasdaq 100	29,187.55	-2.50%	
Russell 2000	2,721.37	-1.66%	
VIX	19.99	+21.45%	Volatility spike
10Y Yield	5.10	+0.18%	Highest since 2023
WTI Crude	99.02	+1.07%	

Top large-cap movers

TICKER	CLOSE	CHANGE
JPM	339.72	+1.25%
XLE	68.24	+2.52%
AVGO	328.75	-4.52%
META	709.33	-3.72%

Spotlight

NVDA reported Q3 earnings, beating revenue expectations but missing on EPS. The chipmaker posted revenue of 15.2 billion, up +6.1% YoY, while EPS came in at 2.31, down -4.8% from the prior quarter.

METRIC	VALUE
Revenue	15.2 bn (+6.1%)
EPS	2.31 (-4.8%)
Guidance	Q4 revenue forecast 15.5 bn (+2.0%)

Macro & Fed

- Federal Funds Rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield at 5.10%, up +0.18%
- Data releases (HKT): CPI 02:30, PCE 03:30, Existing-home sales 04:30

Geopolitics & global

- Middle-East tensions remain elevated after recent strikes, pressuring oil supply.
- China’s manufacturing PMI slipped to 48.9, suggesting continued slowdown.
- Eurozone core inflation held at 2.7%, keeping ECB dovish.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
Oct 22 02:00	META	Revenue trend and ad spend rebound
Oct 23 02:00	NVDA	Guidance vs. AI demand outlook
Oct 24 02:00	JPM	Net interest income amid rate plateau

Stocks worth watching

- `TSLA` – price-sensitive to battery-cell cost cuts.
- `XLF` – banking sector rally after earnings beat.
- `XLE` – oil price support from OPEC output cuts.
- `XLK` – tech slump may deepen if earnings miss.
- `GOLD` – safe-haven demand rising as VIX spikes.

What could break the tape

BEARISH TRIGGERS

- Further 10-year yield rise above 5.20%.
- VIX breach of 22, indicating heightened panic.
- Disappointing earnings from `NVDA` or `META`.

BEARISH TRIGGERS

- WTI climbs above 105, boosting energy stocks.
- Positive CPI surprise, prompting Fed rate-cut speculation.
- Strong earnings beat from `JPM` or `AAPL`.

Sources

SOURCES

Reuters — US Markets

Bloomberg — S&P 500

CNBC — VIX

SEC — NVDA filing

Federal Reserve — Monetary Policy